

COMMERCIAL LEASE AGREEMENT

THIS LEASE AGREEMENT (this "Lease") is entered into as of April 1, 2021, by and between **HARTFORD COMMERCIAL REAL ESTATE TRUST**, a Connecticut real estate investment trust ("Landlord"), and **SKYLINE STORES**, a Delaware corporation ("Tenant").

RECITALS

A. Landlord owns the shopping center known as Riverdale Shopping Center located in Hartford, Connecticut, containing approximately 185,000 square feet of retail space.

B. Tenant operates retail outlet stores throughout the United States and desires to lease space for such purpose.

C. Landlord desires to lease to Tenant approximately 21,000 square feet within the Shopping Center.

NOW, THEREFORE, in consideration of the mutual covenants herein, the parties agree:

ARTICLE 1 - BASIC LEASE INFORMATION

1.1 Basic Terms

- **Landlord:** Hartford Commercial Real Estate Trust
- **Tenant:** Skyline Stores
- **Premises:** 21,000 square feet (Store ID: S003)
- **Address:** 12 River Road, Hartford, CT 06106
- **Shopping Center:** Riverdale Shopping Center
- **Commencement Date:** April 22, 2021
- **Expiration Date:** April 21, 2026
- **Base Rent:** See Section 3.1
- **Tenant's Share:** 11.35% (21,000 ÷ 185,000)
- **Permitted Use:** Outlet retail store
- **Guarantor:** Skyline Stores Holdings, Inc.

ARTICLE 2 - PREMISES AND TERM

2.1 Demise of Premises

Landlord leases to Tenant the Premises shown on **Exhibit A**, together with rights to Common Areas and subject to all easements, restrictions, and matters of record.

2.2 Term

The initial term is **FIVE (5) YEARS** commencing April 22, 2021.

2.3 Renewal Options

Tenant has two (2) options to extend for five (5) years each at 95% of fair market rent, with 6 months' prior written notice required.

2.4 Condition of Premises

Premises delivered "as-is" with Landlord's Work per **Exhibit B** completed:

- New roof membrane with 10-year warranty
- HVAC units servicing the Premises (5 units, 80 tons total)
- Updated electrical service (800 amp)
- Code-compliant restrooms
- Repaved parking areas

ARTICLE 3 - RENT

3.1 Base Rent Schedule

Lease Year	Annual Rent	Monthly Rent	PSF/Year
Year 1	\$420,000	\$35,000	\$20.00
Year 2	\$430,500	\$35,875	\$20.50
Year 3	\$441,000	\$36,750	\$21.00
Year 4	\$451,500	\$37,625	\$21.50
Year 5	\$462,000	\$38,500	\$22.00

3.2 Additional Rent Components

Tenant pays its Proportionate Share of:

- **CAM Charges:** Currently \$4.25 PSF (includes snow removal, landscaping, parking lot maintenance, security)
- **Real Estate Taxes:** Currently \$3.85 PSF
- **Insurance:** Currently \$0.45 PSF
- **Management Fee:** 3% of gross receipts
- **Marketing Fund:** \$0.25 PSF

3.3 Expense Caps

- CAM increases capped at 5% annually
- Controllable expenses capped at 4% annually
- No cap on taxes, insurance, utilities, or snow removal

3.4 Payment Terms

- Due: 1st of each month
- Late fee: 5% after 5-day grace period
- Default interest: Prime + 4%
- ACH payment required

ARTICLE 4 - USE AND OPERATION

4.1 Permitted Use

Premises shall be used exclusively as a Skyline Stores outlet location selling:

- Overstock and clearance merchandise
- Previous season goods
- Special purchase merchandise
- Customer returns (refurbished)

4.2 Prohibited Uses

- No "dollar store" format
- No used/consignment goods
- No auctions or temporary sales
- No warehouse/distribution use

4.3 Operating Covenant

Tenant must operate minimum 5 days/week, 8 hours/day. "Going dark" prohibited except for remodeling (max 60 days) or casualty.

4.4 Co-Tenancy Requirements

If Combined Occupancy falls below 70% for 6 consecutive months, Tenant may:

- Pay 75% of Base Rent until cured

- Terminate after 12 months with 90 days' notice

ARTICLE 5 - MAINTENANCE AND REPAIRS

5.1 Tenant's Responsibilities

- Interior maintenance and repairs
- Storefront doors and glass
- Interior HVAC components
- All trade fixtures and equipment
- Pest control inside Premises
- Grease trap maintenance (if applicable)

5.2 Landlord's Responsibilities

- Structural elements (roof, foundation, walls)
- Parking lots and Common Areas
- **All HVAC equipment replacement and major repairs**
- Exterior lighting and signage
- Fire protection systems

5.3 HVAC Maintenance Protocol

LANDLORD maintains and replaces all HVAC units serving the Premises:

- Quarterly preventive maintenance
- 24-hour emergency repair response
- Replacement when units reach 75% of useful life
- Energy efficiency upgrades at Landlord's discretion
- Tenant pays proportionate share through CAM

5.4 Roof Warranty

Landlord maintains transferable 10-year roof warranty. Tenant must not penetrate roof without consent.

ARTICLE 6 - ALTERATIONS AND IMPROVEMENTS

6.1 Initial Improvements

Tenant's initial build-out per approved plans. Landlord provides \$315,000 TI allowance (\$15 PSF) disbursed upon completion.

6.2 Subsequent Alterations

- Non-structural under \$25,000: No consent required
- All others: Landlord approval required
- Must use Landlord's approved contractors for structural/MEP work
- Compliance with all codes and ADA required

6.3 Fixture Removal

Upon termination, remove all trade fixtures and repair damage. Improvements paid by TI allowance remain.

ARTICLE 7 - UTILITIES AND SERVICES

7.1 Tenant's Direct Services

- Electricity (separately metered)
- Gas (separately metered)
- Telephone/data/cable
- Interior janitorial
- Refuse removal (exclusive of compactor)

7.2 Landlord Provided Services

- Water/sewer (charged pro rata)
- Common Area lighting and maintenance
- Shared compactor service
- Security patrols (8 PM - 6 AM)
- Snow removal from parking/drives

7.3 Utility Interruption

No liability for interruptions beyond Landlord's reasonable control. Landlord must use diligent efforts to restore.

ARTICLE 8 - INSURANCE

8.1 Tenant's Coverage

- General Liability: \$2M/\$4M with Landlord as additional insured

- Property: Replacement cost on improvements/contents
- Business Interruption: 12 months
- Auto Liability: \$1M
- Umbrella: \$5M
- Workers Comp: Statutory

8.2 Landlord's Coverage

- All-risk property on buildings
- General liability for Common Areas
- Rent loss insurance

8.3 Mutual Waiver

Mutual waiver of subrogation on all property claims to extent covered by insurance.

8.4 Certificates

Annual certificates required showing compliance. 30-day cancellation notice to Landlord.

ARTICLE 9 - DAMAGE AND CONDEMNATION

9.1 Casualty Damage

- **Partial damage (<50%):** Landlord restores within 180 days, rent abates proportionately
- **Major damage (>50%):** Either party may terminate within 30 days
- **Last 18 months:** Tenant may terminate regardless of damage extent

9.2 Condemnation

- **Total taking:** Lease terminates
- **Partial taking >25%:** Tenant may terminate
- **Partial taking <25%:** Lease continues with rent reduction

9.3 Insurance Proceeds

Landlord restores base building only. Tenant restores its improvements beyond original TI work.

ARTICLE 10 - ASSIGNMENT AND SUBLETTING

10.1 Consent Requirements

No transfer without Landlord's prior written consent (not unreasonably withheld). Landlord may recapture for assignments of entire Premises.

10.2 Permitted Transfers

No consent needed for:

- Affiliates with equal net worth
- Stock transfers not changing control
- Franchisees operating as Skyline Stores

10.3 Transfer Terms

- Assignee assumes all obligations
- Original Tenant remains liable
- 50/50 split of excess rent after Tenant's costs
- \$2,500 review fee

ARTICLE 11 - ENVIRONMENTAL

11.1 Tenant Covenants

- No Hazardous Materials except consumer products
- Comply with all Environmental Laws
- Immediate notice of releases
- Indemnify for Tenant-caused contamination

11.2 Landlord Representations

Landlord represents no known environmental conditions as of Commencement Date based on Phase I ESA dated 2/15/2021.

11.3 Remediation

- Tenant: Responsible for conditions it causes
- Landlord: Pre-existing conditions and Common Areas
- Right to terminate if remediation exceeds 120 days

ARTICLE 12 - DEFAULT AND REMEDIES

12.1 Tenant Defaults

- Monetary: Failure to pay within 10 days of notice
- Non-monetary: Failure to cure within 30 days (or commence cure if more time reasonably needed)
- Chronic: 3 monetary defaults in 12 months
- Bankruptcy/insolvency proceedings

12.2 Landlord's Remedies

- Terminate and recover possession
- Terminate Tenant's right only and relet
- Accelerate rent (limited to 6 months)
- Specific performance
- Recover attorneys' fees

12.3 Tenant's Remedies

After notice and opportunity to cure:

- Offset for Landlord's failure to maintain
- Specific performance
- Actual damages (no consequential)
- Attorneys' fees if Tenant prevails

12.4 Mitigation

Landlord must use reasonable efforts to mitigate damages through reletting.

ARTICLE 13 - MISCELLANEOUS

13.1 Holding Over

Month-to-month at 150% of last month's rent plus all damages.

13.2 Estoppel Certificates

Delivered within 10 business days. Failure to respond deemed acceptance of Landlord's statement.

13.3 Subordination

Automatic to present and future mortgages with commercially reasonable SNDA provided.

13.4 Financial Information

Annual statements and quarterly sales reports. Confidential treatment required.

13.5 Force Majeure

Excludes payment obligations. Must notify other party within 5 days of event.

13.6 Parking

- Customer: 105 spaces (5 per 1,000 SF) non-exclusive
- Employee: 10 designated spaces in rear

13.7 Signage

- Façade: One sign up to 250 SF per Exhibit C criteria
- Monument: Proportionate space on center pylon
- Directional: As reasonably needed

13.8 REIT Protection

Tenant acknowledges Landlord's REIT status and agrees to provisions in **Exhibit D**.

13.9 Sustainability

Participate in Landlord's recycling and energy conservation programs. LED lighting required for any lighting replacements.

13.10 Notices

Landlord:

Hartford Commercial Real Estate Trust
One Constitution Plaza, 15th Floor
Hartford, CT 06103
Attn: General Counsel

Tenant:

Skyline Stores
500 Commerce Drive
Dallas, TX 75201
Attn: Real Estate Legal

13.11 Entire Agreement

This Lease and exhibits constitute entire agreement. Amendments must be written and signed by both parties.

13.12 Governing Law

Connecticut law governs. Exclusive jurisdiction in Hartford Superior Court.

SIGNATURES

LANDLORD:

HARTFORD COMMERCIAL REAL ESTATE TRUST

By: _____

Name: James Mitchell

Title: Chief Investment Officer

Date: April 1, 2021

TENANT:

SKYLINE STORES

By: _____

Name: Sarah Johnson

Title: Senior Vice President - Real Estate

Date: April 1, 2021

EXHIBITS

Exhibit A - Premises Floor Plan and Location

Exhibit B - Landlord's Work

Exhibit C - Signage Criteria

Exhibit D - REIT Protective Provisions

Exhibit E - Form of SNDA

Exhibit F - Guaranty of Lease

Exhibit G - Rules and Regulations

Exhibit H - Exclusive Use Provisions

Exhibit I - Environmental Disclosure

FOURTH AMENDMENT TO COMMERCIAL LEASE AGREEMENT

Store ID: S003

THIS FOURTH AMENDMENT TO COMMERCIAL LEASE AGREEMENT (this "Amendment") is made and entered into as of February 1, 2024, by and between **HARTFORD COMMERCIAL REAL ESTATE TRUST**, a Connecticut real estate investment trust ("Landlord"), and **SKYLINE STORES**, a Delaware corporation ("Tenant").

RECITALS

WHEREAS, Landlord and Tenant entered into that certain Commercial Lease Agreement dated April 1, 2021 (the "Original Lease"), as amended by the First Amendment dated October 15, 2022, the Second Amendment dated June 30, 2023, and the Third Amendment dated January 5, 2024 (collectively, the "Prior Amendments"), for approximately 21,000 square feet of retail space located at 12 River Road, Hartford, Connecticut 06106;

WHEREAS, the Original Lease is scheduled to expire on April 21, 2026;

WHEREAS, Tenant currently operates the Premises under the trade name "Skyline Value Store" and desires to extend the lease term to continue operations; and

WHEREAS, Landlord is willing to extend the lease term upon the terms and conditions set forth herein.

NOW, THEREFORE, in consideration of the mutual covenants and agreements contained herein, and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties agree as follows:

AMENDMENTS

1. LEASE EXTENSION

The Original Lease term is hereby extended for an additional **SEVEN (7) YEARS**, commencing on April 22, 2026 (the "Extension Commencement Date") and expiring on April 21, 2033 (the "Extended Expiration Date").

2. BASE RENT FOR EXTENSION TERM

Base Rent during the Extension Term shall be as follows:

Extension Year	Period	Annual Rent	Monthly Rent	PSF/Year
Year 6	4/22/26 - 4/21/27	\$525,000	\$43,750	\$25.00
Year 7	4/22/27 - 4/21/28	\$546,000	\$45,500	\$26.00
Year 8	4/22/28 - 4/21/29	\$567,000	\$47,250	\$27.00
Year 9	4/22/29 - 4/21/30	\$588,000	\$49,000	\$28.00
Year 10	4/22/30 - 4/21/31	\$609,000	\$50,750	\$29.00
Year 11	4/22/31 - 4/21/32	\$630,000	\$52,500	\$30.00
Year 12	4/22/32 - 4/21/33	\$651,000	\$54,250	\$31.00

3. ADDITIONAL RENT MODIFICATIONS

3.1 CAM Expense Cap

During the Extension Term, annual increases in Tenant's Proportionate Share of CAM expenses (excluding taxes, insurance, and utilities) shall be capped at 3.5% per annum on a cumulative basis.

3.2 Management Fee Cap

The management fee component of additional rent shall not exceed 3.5% of gross receipts during the Extension Term.

4. CAPITAL IMPROVEMENTS ALLOWANCE

4.1 Tenant Improvement Allowance

Landlord shall provide Tenant with a tenant improvement allowance of **\$420,000** (\$20.00 per square foot) to be used for renovations and upgrades to the Premises during the Extension Term.

4.2 Disbursement Terms

The TI allowance shall be disbursed upon completion of approved work and submission of appropriate documentation, including lien waivers and certificates of completion.

4.3 Unused Allowance

Any unused portion of the TI allowance shall not be available as a rent credit or cash payment to Tenant.

5. ADDITIONAL RENEWAL OPTIONS

Tenant shall have **two (2) additional successive options** to renew the Lease for periods of five (5) years each beyond the Extended Expiration Date, provided:

- Tenant is not in default under the Lease at the time of exercise

- Tenant provides written notice at least 12 months prior to the then-current expiration date
- Base Rent for each renewal term shall be 94% of fair market rent as determined by qualified appraisal

6. EXCLUSIVE USE ENHANCEMENT

During the Extension Term, Landlord agrees that within Riverdale Shopping Center:

- No tenant may operate a general discount store or value store exceeding 10,000 square feet
- No tenant may use "Value," "Discount," or "Outlet" in their primary trade name for retail operations exceeding 5,000 square feet

7. SIGNAGE RIGHTS EXPANSION

7.1 Monument Sign Priority

Tenant shall receive priority placement on the Shopping Center's primary monument sign, with letter size proportionate to square footage leased.

7.2 Directional Signage

Tenant may install up to five (5) directional signs within the Shopping Center at mutually agreed locations.

8. PARKING ALLOCATION

Tenant's parking allocation during the Extension Term shall be 315 spaces (15 spaces per 1,000 square feet), including:

- 25 designated employee parking spaces in the rear parking area
- 15 reserved customer spaces near the main entrance
- 275 shared customer parking spaces

9. OPERATING COVENANT MODIFICATION

9.1 Continuous Operation

Tenant covenants to operate the Premises continuously during the Extension Term, with "going dark" prohibited except for:

- Remodeling periods not exceeding 90 days with prior written notice
- Force majeure events beyond Tenant's reasonable control
- Casualty damage requiring restoration

9.2 Minimum Operating Hours

Tenant shall maintain minimum operating hours of:

- Monday through Saturday: 7:00 AM to 9:00 PM
- Sunday: 8:00 AM to 8:00 PM
- Extended holiday hours during peak retail seasons

10. CO-TENANCY PROVISION ENHANCEMENT

If the Shopping Center occupancy falls below 65% for six (6) consecutive months during the Extension Term, Tenant may elect to:

- Pay 60% of Base Rent until occupancy exceeds 75% for three consecutive months, OR
- Terminate the Lease with 120 days' written notice

11. ASSIGNMENT AND SUBLETTING RIGHTS

11.1 Affiliate Transfers

Tenant may assign the Lease to any affiliate, subsidiary, or entity under common control without Landlord's consent, provided the assignee has a net worth equal to or greater than Tenant.

11.2 Sale of Business

In the event of a sale of substantially all of Tenant's assets or business, Landlord's consent to assignment shall not be unreasonably withheld if the assignee meets reasonable financial and operational criteria.

12. ENVIRONMENTAL COMPLIANCE

Tenant acknowledges its ongoing responsibility for environmental compliance and agrees to maintain all necessary permits and licenses throughout the Extension Term at Tenant's sole cost and expense.

13. HVAC SYSTEM UPGRADE

Prior to the Extension Commencement Date, Landlord shall upgrade the HVAC system serving the Premises to ensure adequate climate control for the extended lease term, at Landlord's cost and expense.

GENERAL PROVISIONS

14. ESTOPPEL CERTIFICATE

Concurrently with the execution of this Amendment, Tenant shall provide Landlord with an estoppel certificate in Landlord's standard form confirming the status of the Lease.

15. FINANCIAL STATEMENTS

Tenant shall continue to provide annual financial statements and quarterly sales reports throughout the Extension Term as required under the Original Lease.

16. RATIFICATION

Except as specifically modified herein, all terms, covenants, and conditions of the Original Lease and all Prior Amendments remain in full force and effect and are hereby ratified and confirmed.

17. BINDING EFFECT

This Amendment shall be binding upon and inure to the benefit of the parties and their respective successors and assigns.

18. GOVERNING LAW

This Amendment shall be governed by and construed in accordance with the laws of the State of Connecticut.

IN WITNESS WHEREOF, the parties have executed this Amendment as of the date first written above.

LANDLORD:

HARTFORD COMMERCIAL REAL ESTATE TRUST

By: _____

Name: James Mitchell

Title: Chief Investment Officer

Date: February 1, 2024

TENANT:

SKYLINE STORES

By: _____

Name: Sarah Johnson

Title: Senior Vice President - Real Estate

Date: February 1, 2024

ACKNOWLEDGMENTS

STATE OF CONNECTICUT

COUNTY OF HARTFORD

On this 1st day of February, 2024, before me personally appeared James Mitchell, who proved to me on the basis of satisfactory evidence to be the person whose name is subscribed to the within instrument and acknowledged to me that he executed the same in his authorized capacity.

I certify under PENALTY OF PERJURY under the laws of the State of Connecticut that the foregoing paragraph is true and correct.

WITNESS my hand and official seal.

Notary Public

My Commission Expires: March 15, 2026

STATE OF TEXAS

COUNTY OF DALLAS

On this 1st day of February, 2024, before me personally appeared Sarah Johnson, who proved to me on the basis of satisfactory evidence to be the person whose name is subscribed to the within instrument and acknowledged to me that she executed the same in her authorized capacity.

I certify under PENALTY OF PERJURY under the laws of the State of Texas that the foregoing paragraph is true and correct.

WITNESS my hand and official seal.

Notary Public

My Commission Expires: August 22, 2025